

What was the primary cause for the 2008 loss, which occurred during the second half of the year?

Our losses in the second half of 2008 came from our net long exposure. Although in the developed countries, GDP growth was flattening out and beginning to look ugly, in the emerging markets, everything was still booming. The earnings of all the companies in our portfolio were up sharply and valuations were very attractive. So whereas the fundamentals for developed markets suggested that you didn't want to have any exposure to anything, the fundamentals of the individual emerging market companies supported a strong net long posture. Given the contrast between attractive emerging market valuations and the high-risk global environment, we compromised with a moderate 40 percent net long exposure. After the Lehman collapse triggered major credit concerns, however, we reduced our exposure to 20 percent net long.

Maintaining a 20 percent net long exposure instead of getting out completely helped us avoid getting whipsawed by the quick succession of extreme peaks and troughs in late 2008. During the fourth quarter of 2008, there were three rallies of approximately 15 percent to 20 percent that all ended up being followed by new lows. If I had dumped our entire position, then when the market rallied 15 percent to 20 percent, after it had been down nearly 40 percent, I might very well have thought, "Oh, my God, this is the turn," and jumped right back in again. Then when the market was back to a new low a few days later, I probably would have thought that I had been right to be out of the market in the first place and sold everything again. There would have been a danger of getting whipsawed on the subsequent short-lived sharp rallies as well. So while our net long exposure resulted in losses during the second half of 2008, ironically, we might have lost more if we had gone flat.

How did your investors respond to your first losing year?

We didn't have a single redemption until October 2008. From that point on, our fund was used as a cash machine because, given my golden rule of investing in only liquid securities, we were able to remain open for monthly dealing on an unchanged basis, despite the crisis, whereas most of our peers were in distress and had resorted to gating their funds.² Some